

compete. The Andrewses also followed the savings excuse for their age: “Yes, it’s too late to begin saving now. We have social security but who can live on that? If only I had invested when I had the money. You can’t invest when you have no income.”

With no retirement income available to them other than social security, their only hope to increase their income to the levels to which they had become accustomed was for Mr. Andrews to go back to work. To them, it was worth it in order to maintain their standard of living. Delaying retirement was their solution for now, but retirement can’t be delayed forever. Eventually one’s age and continued capacity to work will catch up to them.

Although Americans dream of early retirement, most have accumulated little in the way of savings and have done even less planning to make that retirement happen. In fact only 11 percent of workers under thirty-five years of age indicate that they are participating in their company’s 401(k), according to the AICPA 2007 poll.

Although Pete was very happy to have his old boss back at work, the reason for his return scared him. Upon returning, Mr. Andrews had a heart-to-heart talk with Pete and said that he was worried he was following the same path that had led to his financial predicament. He encouraged Pete to save while he still had the time so that he wouldn’t be forced to continue to work once he reached Mr. Andrew’s age.

We Didn’t Expect...

There will always be unexpected expenses, “life events” that seem to pop up at the most inopportune times. Sometimes these unplanned expenditures happen at the same time or one right after another. When they occur, the result is an additional burden to your budget. Although ideally your monthly budget should always have money set aside for these expenses,

